Looming Revival



The textile and apparel industry appears headed for a turnaround even as competitive challenges persist

India's textile and apparel industry is set for a cautious revival under the emerging trade frameworks with the US and the EU, which together absorb nearly 40 per cent of exports. For a sector shipping $36.7 billion (Rs 3.3 lakh crore) in goods and employing about 45 million workers—largely through 5 million MSMEs—better market access is a necessity.

An interim pact with the US offers relief after a bruising 2025, when stalled negotiations pushed duties to nearly 45 per cent, eroding competitiveness against Vietnam and China. The new arrangement standardises tariffs at about 18 per cent and is expected to grant zero duty for select categories such as silk.

With the US remaining India's largest market—imports total $10.5 billion (Rs 95,000 crore), including $5.5 billion (Rs 50,000 crore) in apparel—the shift is seen as a reset rather than a windfall. A. Sakthivel, chairman, Apparel Export Promotion Council, estimates exports could rise 20–40 per cent over the next year, supporting India's goal of $100 billion (Rs 9.06 lakh crore) in textile exports by 2030. Competition, however, is intensifying. A recent US deal granting Bangladesh zero-tariff access for select apparel, especially garments made with US inputs, could sharpen its edge in price-sensitive segments.



"With the new tariffs, the industry is hopeful of increasing exports by 20–40 per cent over the next year"

— A. SAKTHIVEL
Chairman, Apparel Export Promotion Council

The EU, which accounts for $7.2 billion (Rs 65,000 crore), or 19 per cent, of textile exports, presents a longer challenge. Stricter environmental and labour rules raise compliance costs. Limited domestic testing capacity compounds the strain. "After the US shock last year, we are scared of investing heavily in compliance," says Dharmesh Kachiwala of JP Kachiwala, a Surat-based textile processing house. Ultimately, sustained growth will hinge on competitiveness and regulatory readiness.

—Jumana Shah

US DEAL	EU DEAL
Textile exports to the US (FY25)	**Textile exports to the EU** (FY25)
$10.5 bn	$7.2 bn
40-47%	4-12%
18%	0%
Textile imports from the US (FY25)	**Textile imports from the EU** (FY25)
$412 mn	$3.01 bn
7.5-20%	7.5-25%
0%	0%*

*immediate for machinery and chemicals/ dyes; phased rollback for high-end fabrics, apparels and garments

Earlier tariff | Tariff now

advocate of self-reliance, didn't criticise the deals, with its convenor Ashwani Mahajan stating, "We are not for closing our economy to the rest of the world. But while dealing with others, they should not dictate terms to us. We have negotiated these deals on an equal footing."

ART OF THE DEALS

Over the past year, US tariffs and the uncertainty around their application weighed heavily on labour-intensive sectors. The EU offered a counterweight—it had a vast market with enormous import demand, but where India's share was small. The first indication that India was close to signing a trade deal with the EU came when its top leaders—the European Commission president Ursula von den Leyer and Chairman of the EU council Antonio Costa—were invited to be chief guests at India's Republic Day celebrations. A day after the parade, Modi and the two leaders witnessed the signing of a deal between Indian and EU officials, which would have been India's largest trade agreement ever—only to be eclipsed by the US agreement a week later. Under the deal with the EU, India gained preferential access to European markets across 97 per cent of tariff lines, covering 99.5 per cent of trade value. This included 70.4 per cent tariff lines, covering 90.7 per cent of India's exports, which received immediate duty elimination for key labour-intensive sectors.

Importantly, India wanted to finalise the EU FTA before striking a deal with the US so that the Europeans would not demand similar terms. At the same time, when Modi called Trump, he had the EU deal to show that India had begun to reduce its dependence on US trade. The bonhomie Modi displayed with Russian president Vladimir Putin on his recent visit to India, along with the thaw in India-China relations after months of hostility, were other signals that India had options other than the US. It strengthened India's bargaining position.

For the Americans, the appointment of Sergio Gor, a close aide of Trump, as ambassador to India and the region began to bear fruit. Gor, who had the ear of the American president and extensive contacts within the Trump administra-